

Winding Tree

A new Standards War: Fighting for trust and transparency online



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In the digital world, identity has always been a sticky subject. It's a battle between anonymity and reality, freedom, and trust. Some feel like the internet should provide the freedom to create an identity that doesn't reflect

who they are in reality, while others feel like digital interactions should be tied to true identities.

Let's call it URL vs IRL.

So what happens when that conflict enters the business arena? Well, we get trolls, bots, and fake news all over the world, where bad actors hide behind virtual identities to spread untruths via unvetted, unverified, and unmoderated content.

We also get a situation where anyone can pay for advertising that targets a subset of the population, without that target knowing anything about who's behind the ad. Without the tools to know who may be trying to influence them, many people take the bait.

It's a question of accountability: in which instances should identity be verified and public for everyone to see? How should content be vetted and verified? And should there be a global standard for trust and transparency or should that be left to individual platforms? With a pandemic ravaging and elections looming, these questions are more pressing than ever before.

The problem: anonymity cloaks ulterior motives

The idealistic version of the internet is one that offers the power and freedom to build an online identity completely untethered from who you are in person. Yet, when a social network or digital channel is driven by anonymity, it's impossible for its users to know who's who and make an educated judgment of their agendas or ulterior motives.

The dark side of anonymity online was made clear by the notorious efforts of Cambridge Analytica, a data and analytics firm that leveraged "the power of big data and psychographics in the electoral process" to influence voters in the U.S. election — without those voters being given any detail about who's behind paid advertising meant to sway their votes. Without any checks or verification, all kinds of entities (both legitimate and not) were able to

publish targeted ads basically without consequences. To prevent that from happening again, there needs to be more transparency and trust in advertising.

A Cambridge Analytica presentation showing how data can be leveraged into persuadable advertising via what's known as "addressable advertising technology," that personalizes ads to individual segments across devices and platforms.

The solution: Manual verification of companies

With trust and transparency in mind, two of the world's largest platforms by usage have made big changes to their advertising requirements. Both Facebook and Google now require manual verification of advertisers, with that information being placed alongside ads. That way, users have the option to judge the content for themselves by seeing more detail about the company or entity paying for the ad.

Of course, users can ignore that if they want. The transparency also functions to limit access to paid advertising on these platforms by unregistered entities that are unwilling to undergo verification. The hurdle makes it harder to create fake ads.

Facebook started this trend in 2018, requiring basic disclosures for any paid political ads. The company improved these rules in 2019 after many entities were found to disguise their identities by using misleading names. The latest requirements for the political and social issue ads go much deeper into actual verification. Businesses, nonprofits, and non-governmental organizations will now need to provide an employer organization identification number that has been registered with the government. For smaller organizations and local politicians, Facebook requires the name, address, website, email, and phone number for the organization. All of this information is manually verified by Facebook internally.

Verified entities will then be able to use their name to ads, which will feature an “i” icon appearing on the ad to indicate verification.

Most recently, Google announced a major shift in its advertising policy. After struggling to eliminate fake business listings, over the years, the company is taking things one step further than Facebook and requiring all advertisers to become verified. Before running any advertising, buyers must provide personal details and/or business identification documents, such as

incorporation papers that prove identity and country. Existing advertisers have a month to comply before having their advertising access shut off.

These solutions are admirable. They put the burden of proof on advertisers and make the platforms less rife with fraud, scams, and abuse. There's one major flaw: It is a manual process that takes a lot of time. As the Verge notes in its coverage of Google's moves towards more trust and transparency, "the process may take years." There's just no easy way to verify the identity of millions of advertisers worldwide, without it taking quite some time — and at a not insignificant cost.

It's also a process that's owned by the entity undergoing the review; it gets to set its standards and its requirements. Verifications are limited to each platform, which defines its own rules and requirements and puts the onus on consumers to understand the nuances. There's no portability that could increase trust and transparency across all digital channels. In essence, it's lacking a digital trust score that allows an apples-to-apples comparison for Internet users everywhere.

Are we in for a Standards War of trust and transparency?

Standards are often a battleground, with consumers stuck in the middle as collateral damage.

It's Betamax vs VHS. BluRay vs HD DVD. Lightning vs mini-USB.

These Standards Wars are rarely fought with good intentions. Rather, commercial interests are often at stake because whoever wins the war enjoys the economic windfall of being the dominant standard. And if one company manages to own the standard, it can either corner the market or charge other companies for using their proprietary standard.

While one company may win, consumers usually lose. Consumers are forced to either switch to the winning standard (and spend even more money), keep using a device that's no longer supported or daisy chain dongles together to make it all work. It's frustrating and poor user experience.

“Standards wars occur when companies or consortia perceive a competitive threat and preemptively engage in a battle in order to secure their position or influence in the marketplace.” -*The Art of Standards Wars*

With Facebook and Google evolving their identity requirements, globally verifiable digital IDs are here to stay — and are becoming a competitive advantage. Platforms that build trust in advertising and discourage bad actors will have a stronger, more competitive position over time.

Facebook understands this and is using its dominant market position to pursue a standard in another area of trust and transparency: content moderation. Facebook is pushing forward with what's essentially a trusted standard that can be applied across platforms. The Facebook Oversight Board will field complaints from users regarding content removals and advise Facebook on its decisions around which posts to take down and which ones should be restored.

Facebook has built its governance model to extend to other platforms, which could “rewrite the rules of the entire internet” as “the supreme court of content.” The board is structured as a separate legal trust that can accept funding from outside sources and even form its own companies.

“That was conscious on our part in building the trust,” Brent Harris, Facebook’s director of governance and strategic initiatives, told Protocol. “It has been built in a way that it can go beyond Facebook and go to more parts of the industry.” -Brent Harris, Facebook’s director of governance and strategic initiatives

As this model evolves — potentially to include governance of things beyond content moderation, such as advertiser verification — then we would indeed have a single standard for a trust for other platforms. But again, the issue is that we have a single company who’s standard has “won” — and could use that dominant market position to force others to follow suit. Or pay the price.

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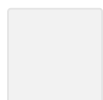
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